

HOW IT WORKS: RENT OR BUY A HOME?

Two couples are considering buying a home: Rachel and Skyler, and Isabel and Zac. Go Rachel, Skyler, Isabel, and Zac. Each couple is trying to figure out if renting or buying is the best choice. They are both looking to buy houses that are priced at \$400,000, but each couple's financial situation is different. Table 11.1 offers Here are some details about how their finances will break down when they sign up for a 15-year loan.

Table 11.1. Financial details to determine homeownership

Costs	Rachel and Skyler	Isabel and Zac
Home Price	\$400,000	\$400,000
Down Payment	\$100,000	\$28,000
Mortgage Principal	\$300,000	\$372,000
Expected Monthly Payment ⁷²	\$2,071	\$2,568*
Monthly Take-Home Pay	\$10,000	\$12,000
Current Rent	\$2,200	\$1,500
Debt	\$0	\$20,000**
Emergency Fund	***	\$2,000

*Includes \$155 for PMI.

**Isabel and Zac are paying off student loans.

***Rachel and Skyler's emergency savings account is fully funded.

First, let's examine the mortgage principal. Although the houses are the same price, Rachel and Skyler have saved up \$100,000 for

⁷² Again, this does not include things like property taxes and insurance.